Greaves Cotton Limited (GREAVESCOT): Business, Valuation and Portfolio Action — Masterclass Companion Book

A step-by-step narrative walkthrough and audio companion to Greaves Cotton Limited (GREAVESCOT): Business, Valuation and Portfolio Action: deconstructing the business engine, global historical parallels, ten-year financial forensics, both sides of the institutional debate, and the discipline of high-asymmetry execution.

Company & Market: Greaves Cotton Limited (GREAVESCOT): Business, Valuation and Portfolio Action (IN)
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Core Verdict: WAIT_FOR_SUPPORT (Consumer screen reads BUY_AT_CMP_NO_FOMO (8.57% above the 10-week EMA, inside the 10% cap); our timing call overrides it: WAIT_FOR_SUPPORT, because the stock rose 11% in a week and group cash flow is unproven)
Authored & Narrated by: Senior Institutional Equity Research Desk • Masterclass Companion Audio-Reader Edition (16,080 words • ~104 min listen)

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A Sequential Guide to the Business Engine, Global Parallels, Financial Forensics & High-Asymmetry Execution

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SESSION PRICE

NEW CAPITAL VERDICT

`WAIT_FOR_SUPPORT`

CURRENT HOLDING ACTION

`NOT HELD — 0 shares in the positions ledger; no current holding to trim or exit.`

STAGE POSTURE

VALUATION WATCH ZONE (CONDITIONAL)

₹205.02–211.26

TWO-YEAR SCENARIO RANGE

Bear ₹152.00 / Base ₹303.00 / Bull ₹427.00

PREFACE & CORE THESIS

Greaves Cotton makes engines, gensets and vehicle control cables, and owns 62.5% of Greaves Electric Mobility (Ampere scooters), which still loses money. The core earns 12-14% EBITDA margins and is growing 20%, but group operating cash flow was negative ₹212 crore in the first half of FY27. New capital waits for support at ₹205.02–₹211.26 with a ₹197.60 stop; our probability-weighted two-year value is about ₹289 against a base case of ₹303. You do not hold the stock, so there is nothing to sell. Cash stays at 100% until the price returns to the zone, and the call is wrong if core margins slip below 12% again or GEML needs fresh funding.

PROLOGUE

Executive Thesis, Dual Verdict & Opportunity Matrix

> *"Price is what you pay. Value is what you get."*
>
> — WARREN BUFFETT, BERKSHIRE HATHAWAY SHAREHOLDER LETTER, 2008

Picture a quiet Friday evening. The market has closed, the chart shows ₹225.97, and you are wondering whether to act. Before we answer, let me ask the question I always ask first: what does this company actually do? Greaves Cotton makes engines. Some power diesel three-wheelers, some are bolted to alternators to make generators for hospitals and factories, and some sit inside fire pumps. It also makes the push-pull cables that run throttles and gear levers. That is the part that earns money, and it has done so for years.

Next to it sits a younger business, Greaves Electric Mobility, which makes the Ampere scooter. Here the picture reverses. Sales have doubled in six months, which looks wonderful, yet the unit still loses money at the operating line. A scooter that lost about twenty thousand rupees a year ago now loses about sixty-three hundred. That is real progress, and still a loss. A small finance arm lends to buyers of electric vehicles, and its book grows in step with the scooters.

So the group is two stories in one wrapper. The old engine business grew twenty percent in the half year but kept less of each rupee, because aluminium, iron and copper got dearer before customers agreed to pay more. The scooter business grew faster and asked for cash. In the first half of this year the whole group took in less cash from operations than it spent, by about two hundred and twelve crore rupees. Management raised five hundred and thirty crore in a rights issue so the scooter company can keep going for a year or more. You and I should respect that fix and still ask the harder question about when the cash turns.

Now, what is the price asking you to believe? Imagine the share price as a bill at the end of a long dinner. We work backward and ask what kind of evening would justify it. The answer is that Greaves would need to grow sales by roughly twelve and a half percent every year for a decade, while its overall profit margin climbs to twelve percent. The company has grown about half that fast over eleven years, and it last earned such a margin years ago. That does

not make the price absurd. It means the price expects a recovery, and recoveries are never free.

Because the business has two halves, we valued each on its own terms. We built three pictures of November 2028. In the good picture the engine margin recovers fully and the market pays a generous multiple, giving four hundred and twenty-seven rupees a share. In the middle picture the margin climbs back to thirteen and a half percent, giving three hundred and three. In the poor picture margins stay squeezed and the scooter company asks its parent for another hundred and fifty crore, giving one hundred and fifty-two. We gave those pictures odds of one in four, nearly one in two and about one in three, and the weighted answer was two hundred and eighty-nine.

That is about twenty-eight percent above today's price over two years, roughly thirteen percent a year. It sounds comfortable until you notice how little room it leaves. Our hurdle is twelve percent a year. A slightly sterner way of valuing the same business pulls the return under eleven. Buy at today's price and you are paid just enough if everything goes to plan, and not enough if one assumption slips. Now imagine paying around two hundred and eight rupees instead. The same value then gives you about eighteen percent a year. You did not need a better forecast. You needed a better entry.

That is why the verdict is to wait for support, and why I want you to hear it as an instruction rather than a shrug. The zone runs from two hundred and five to two hundred and eleven rupees. If the stock closes below one hundred and ninety-eight, we drop the idea. If it instead closes above two hundred and seventy-two, its old high, with strong volume and a better margin in the next quarterly result, we reopen the case and review the verdict. Notice that each of these is a number you can look up, not a mood.

What about what you already own? In this account, nothing. The ledger shows no Greaves shares, so there is nothing to hold, trim or sell, and no reason to buy a few shares just to feel involved. The next fresh rupee stays in cash. One shortlist name, Ajmera, looks cheaper and has better reward for risk, but it also sits just above its own zone. Patience applies to both. The portfolio already holds a lot of similar auto and industrial cyclicals, so even a good Greaves entry would be small.

I also owe you three honest confessions about the evidence. The market-facts ledger carries the twelfth of November close while the live snapshot carries the thirteenth, one bar newer, so a few figures differ by a day. A weekly leadership dashboard dated the eighth does not list Greaves among its rising stocks, so the chart is our only confirmation of strength. And the stock cannot be traded in options. None of this changes the verdict. All of it is why we publish with these exceptions stated, not hidden.

Over six months, then, do not chase. Over two years, the odds are good from a lower price and merely adequate from here. Over five years, this is a decent cyclical engine business, not yet a compounder, because the group still earns about ten percent on the capital it employs. If you carry one sentence away, make it this. A good business is not a good purchase at every price, and writing down your price, your stop and the facts that would change your mind is what turns a view into a decision.

> **NARRATOR'S REFLECTION**
>
> Price is what you pay and value is what you get. The distance between them is the only margin of safety you can measure, so write the number down before the market tempts you to forget it.

CHAPTER I

Origin, Corporate Evolution & Past Stock Cycles

> *"We believe all the key portfolio decisions that were to be taken for this stage of our business plan have been addressed and we can focus then on execution."*
>
> — PARAG SATPUTE, MD & GROUP CEO, GREAVES COTTON Q2 FY27 EARNINGS CALL, 29 OCTOBER 2026

Picture the finance team in early November 2023, closing the books on the September quarter. Sales read ₹727 crore, an ordinary number for a company that had sold engines for the better part of a century. Operating profit read ₹46 crore. Then you scroll to the bottom line and see a net loss of ₹374.59 crore. How does a business founded in 1859 lose that much in three months while its engine plants keep running? You and I will spend this chapter answering that question, because the answer is the key to everything else in this book.

Start with the name. According to the company's own timeline, James Greaves founded the business in 1859 and George Cotton joined later. In 1939 it formed a venture with Ruston & Hornsby of Britain to make diesel engines in India. In 1947 it became an Indian company under industrialist Lala Karam Chand Thapar. In 1976 an Italian partner, Lombardini Motori, helped it set up a light-engine unit near Aurangabad, now called Chhatrapati Sambhajinagar. In 1998 it partnered with the Piaggio Group. Notice what the old names give you: not a brand to admire but a set of engine skills that took generations to stack up. Greaves today calls itself the largest maker of single-cylinder diesel engines in India. That is a niche, and niches are where old industrial companies hide their strength.

Peter Lynch's advice was “know what you own, and know why you own it.” For Greaves, that starts with knowing which parts of the company are old and which are new. The engine business is old. Almost everything else in the group was bought, built or sold in the last decade. So when you read about Greaves, keep asking whether the sentence is about the old engine company or the new set of bets around it.

The first big decision was a retreat. In FY15 Greaves quit manufacturing construction equipment, because of “non-viability of operations on account of its continuing losses,” in the words of that year's report. It is not glamorous to say a business is not working, and it is the kind of act you should reward in management. For the next four years the engine business earned 14-17% EBITDA margins at the parent level. EBITDA, if you are new to the term, is operating profit before interest, tax and the accounting charge for wear on equipment. The company paid out most of its profit as dividends, held almost no debt, and revenue barely moved between ₹1,616 crore and ₹2,015 crore. This was a steady, cash-generating engine maker, and a dull one.

Then came the second big decision, and it went the other way. In 2018 Greaves bought 67% of Ampere Vehicles, an electric two-wheeler start-up, for ₹77 crore, and by FY20 it owned all of it. Why would an engine maker do that? Because the diesel three-wheeler engine industry is, in a rating agency's later words, “continuously shrinking amid rising environmental concerns.” A company that makes its living from one engine type has to ask what happens when the engine type fades. The decision was reasonable. The question for you is whether the execution has matched it.

Next came a stretch where nothing worked at once. India moved to the tougher BS-VI emission standard, which forced engine redesigns. COVID hit in FY21 and revenue fell 21%. Then commodity prices surged, and the FY22 annual report records a “continuous increase in RMC due to exceptional commodity inflation,” where RMC means raw-material cost. A chip shortage and weak three-wheeler sales piled on. The parent's margin slid from 13% to 7% to 4%, and its return on capital from 27% to 4%. At group level the margin touched 1.5% in FY22. If you remember one lesson from this period, make it this: engine makers do not choose their input costs, and when metals jump faster than they can raise prices, margins thin quickly.

Money arrived next. In June 2022 Abdul Latif Jameel International invested about ₹1,170.81 crore for 35.80% of the electric arm, now Greaves Electric Mobility Limited, or GEML. In 2023 Greaves began buying Excel Controlinkage, a Nagpur maker of push-pull cables, which are the steel cables inside a sheath that carry a pull or push from a driver's lever to a throttle or gear. Excel was the one acquisition aimed at the core vehicle-components side

of the house, and Greaves now owns all of it after paying ₹113.47 crore for the last 20% in August 2026.

Now we come back to that bad quarter. The electric scooters sold by Ampere had been receiving a government incentive called FAME-II, paid per vehicle on the condition that the maker met local manufacturing rules. In May 2023 the Ministry of Heavy Industries alleged GEML had not followed those rules and proposed to claw back the money and throw GEML out of the scheme. GEML denied the charge, but chose to settle. It refunded ₹139.98 crore and provided in full for a ₹337.34 crore subsidy it was still owed, which together made the ₹477.32 crore provision. A land sale in Pune brought in a ₹104.20 crore gain in the same quarter, and even so the quarter ended with a loss of ₹374.59 crore.

Buffett's line is useful here: “Only when the tide goes out do you learn who's been swimming naked.” The subsidy was the tide. Once eligibility went, GEML had to raise prices by ₹10,000-20,000 and volume fell from 1,08,710 scooters in FY23 to 47,818 in FY24, down 56%. Notice what did not happen. The engine business did not collapse; its parent-level margin was 13% that year. The loss belonged to a subsidiary whose early economics leaned on a rule it had to follow, and the group paid for it.

People changed too. Sunil Pahilajani left in September 2016 and Nagesh Basavanhalli took over as chief executive. Dr Arup Basu became Deputy MD in May 2022 and MD that August. In April 2025 both left and Parag Satpute became MD and Group CEO. A new CFO, Manish Poddar, arrived in 2026, and the auditor changed from Deloitte to Price Waterhouse. When this many faces change in one year, you should do two things. Give the new team credit for decisions that look right, such as exiting farm equipment, which the company described as “very competitive” and hurt by Chinese imports. And withhold full credit until they have a longer record.

The new team's plan is Greaves.Next, announced on 6 November 2025. It aims at 16-20% organic revenue growth a year and 13-15% core margins. Above it sits an older board vision of ₹15,000 crore of revenue by 2030. From FY26's ₹3,437 crore, that needs growth of roughly 44.5% a year; an analyst on the call said “around 50%.” Mr Satpute answered that core growth, acquisitions and investee growth together “should take us towards our stated ambition.” Sir John Templeton warned that the four most dangerous words in investing are

“this time it's different.” You do not need to reject the vision to notice that the organic target and the 2030 number are very different things, and that the second needs deals far larger than any on this company's record.

The IPO story belongs here too. GEML filed its draft prospectus in December 2024 and SEBI, the market regulator, issued its observations in May 2025. Karan Thapar explained why the structure mattered: ALJ “did not want to be a promoter post a public listing,” so a listing would force it to sell down. In February 2026 the then CFO still said “we will be raising approximately a primary of 1,000 crores.” Yet in July 2026 GEML chose a ₹530 crore rights issue instead, in which existing owners put in more money: ₹331.12 crore from Greaves and ₹198.87 crore from ALJ. The company let the SEBI window lapse and wrote off ₹12.66 crore of IPO costs. Management now says only that the IPO conversation continues with no date. Treat that as an option, not a plan.

Now look at the whole cycle with Howard Marks' words in mind: “We may never know where we're going, but we'd better have a good idea where we are.” Where are we? The parent's margins have returned to 13-14% for three years, and the core businesses earned 14.4% in FY26. Then, in the first half of FY27, higher metal prices cut the core margin to 12.0% before customer contracts could catch up. The group, meanwhile, earns 6-7% because its electric arm still loses money, although the loss on each scooter has fallen from about ₹20,000 to ₹6,300 in a year. Two businesses, two cycles.

Notice that we have talked only about business cycles, not about the share price. That record is held back for Chapter 7 on purpose, so that nothing in the picture of the business gets bent by what the market did. In the next chapter we leave history and open the factory gates: what exactly does Greaves sell, to whom, and what does each customer pay for?

> **NARRATOR'S REFLECTION**
>
> A company's history is its habit record. Greaves has a long habit of building engines well and a short one of running start-ups. The September 2023 quarter was the bill for the second habit, and the three-year run of steady engine margins is the dividend of the first. Ask of every future announcement which habit it draws on.

NARRATOR'S REFLECTION

Management's statement that the key portfolio decisions have been taken is a promise you can test. If it is true, the next four quarters should bring fewer write-offs, a shrinking loss at GEML and core margins moving back toward 13%. If one-offs keep arriving, the sentence was early.

GLOBAL PARALLEL • INDIA, ELECTRIC TWO-WHEELERS, 2020-2026 • TVS MOTOR (MOAT_SCALING)

A legacy petrol two-wheeler maker scaled electric models on its existing dealer network, service reach, procurement scale and captive finance, not on a separate start-up cost base. TVS registered 4,72,270 electric two-wheelers in January-October 2026, a 26.28% share and +84.5% on the year, and 60,433 in October (27.0%) . TVS, Bajaj and Hero together took 81% of October's incremental volume and lifted their combined share from 53.0% to 62.3% . Ampere registered 82,738 year to date (4.60%) . TVS's own EV-segment profitability was not found. In India the “legacy company reinvents itself around electric” story has so far gone to larger two-wheeler incumbents with dense dealers and low-cost capital, not to an engine supplier's subsidiary. Greaves's path rests on dealer throughput (18 to 25 units a month per dealer) and parent funding, not on a transferable moat .

CHAPTER II

What the Company Does: Segments, Revenue Mix & Concrete Examples

> *"We continue to be the sole suppliers to our customer – A French OEM for the engines for their microcars."*
>
> — GREAVES COTTON MANAGEMENT, Q2 FY27 EARNINGS CALL, 29 OCTOBER 2026

Imagine five customers on one ordinary working day. A hospital administrator signs for a diesel generator so the operating theatres never go dark. A three-wheeler assembly line drops an engine into the frame of a cargo rickshaw. A Nagpur workshop wraps a steel cable for an equipment maker abroad. A fire-pump maker tests an engine that must roar to full pressure in seconds. A delivery rider in Patna rolls an electric scooter out of a showroom. You and I would call those five separate worlds. Greaves calls them one company, and your job in this chapter is to see how the pieces fit.

Warren Buffett said that "risk comes from not knowing what you're doing." With Greaves that is harder than it sounds, because the company describes itself in two languages. Management speaks of three core segments, Energy, Mobility and Industrial, plus two investee businesses. The accountants, following a rule called Ind AS 108, report different segments, the ones the CEO and CFO actually review. In FY26 the three core segments brought in ₹742 crore, ₹1,584 crore and ₹339 crore, which is 28%, 59% and 13% of the ₹2,665 crore core. Next to them sit the electric two-wheeler maker GEML with ₹786 crore and the vehicle lender GFL with ₹39 crore. Both views are right. Neither tells you the profit of each of the three core segments, and that is the first thing the company does not say.

Here is what the accountants' view adds. Their biggest segment, Engines, brought in ₹2,241.39 crore of FY26 revenue and earned a segment result of ₹376.59 crore, a margin of 16.8%. Excel's cable segment earned 21.3% on ₹252.06 crore. The electric segment lost ₹182.01 crore on ₹786.19 crore. Take off central costs of ₹85.78 crore, finance costs and a ₹39.34 crore exceptional charge, and profit before tax was ₹114.91 crore. Tax of ₹79.62 crore then took most of it, leaving ₹35.29 crore. Hold on to the pattern: two segments produce the profit, and one takes a large part of it back.

Start with Energy, the segment you can picture most easily. A genset is a diesel engine bolted to an alternator, a machine that turns fuel into electricity when the grid fails or does not reach. kVA tells you how much electrical load it can carry; a 250 kVA set is about 200 kW, enough for a small factory or a clinic. Greaves makes sets from 5 to 2,500 kVA. The group it calls MHP, medium horsepower, covers 160 to 750 kVA, and the CEO told investors, "Our medium horsepower, which we call MHP genset portfolio, covering the 160 to 750 kVA range, grew 35% during the first half of FY27 compared to a 28% growth of the overall business." That outperformance matters because MHP is where Greaves is trying to take share from larger rivals. Management puts its share at around 4%, so there is a lot of room and a lot of competition.

Why does a customer choose one genset over another? Less than you may think about the engine and more about who answers the phone when it stops. That is why Greaves sells through dealers who handle sales, service and spares, and why it offers a five-year extended warranty. The largest single order it has won, ₹35 crore, covers supply, installation, commissioning and long-term maintenance. Think of it like buying a lift for a building: the box is the beginning, and the contract for keeping it running is the lasting relationship. Aftermarket sales, which means spares and service, rose 35% in FY26.

Mobility is the biggest piece, and the engine in a three-wheeler is its heart. These are single-cylinder diesel engines of 435 to 599 cc, about 60 kg each. They are simple and low-cost, which is the point: an auto-rickshaw owner counts every rupee of running cost. Greaves says it makes about 60% of diesel three-wheeler engines in India. A newer version, the 499 cc Euro V+, goes into French microcars, the tiny quadricycles you see in European city centres, and Greaves is the sole engine supplier to that customer, Ligier. Management admitted on the Q2 FY27 call that its contracts with vehicle makers index raw-material costs "but it comes with a lag." Read that carefully: when aluminium and copper rise, Greaves pays first and recovers later.

There is a bigger worry hiding in this line. Three-wheeler diesel engines brought in ₹545 crore in FY26, 15.8% of group revenue. India Ratings has called that industry "continuously shrinking," and in February 2026 the CEO said the shift to CNG and electric vehicles had been "more gradual than we expected." Both statements can be true: a slowly shrinking

market can still grow for a leader who gains share, which is what auto-engine revenue growth of 37% in Q2 FY27 suggests. But a business whose market is slowly closing is one you should study with care.

Costs are the next thing to understand. Engines and gensets are made mostly of metal, and in October 2026 the CFO named the buckets: aluminium, iron, copper and platinum-group metals, which are used in exhaust catalysts. Core raw-material cost rose from 63.9% of core revenue in H1 FY26 to 67.8% in H1 FY27, and core EBITDA margin fell from 14.9% to 12.0%. The CEO said, “The improvement in margins has been slower than we had anticipated.” Management expects customer contracts to catch up from the fourth quarter of FY27. Until then Greaves does the same work and keeps less of each rupee.

The other big Mobility piece is Excel Controlinkage, and its product is wonderfully plain. A push-pull cable is a steel wire inside a flexible sheath. Pull a lever and the wire pulls a throttle or a brake at the other end; push it and the wire pushes. Tractors, excavators, boats and trucks all use them. Excel makes the cables, the gear-shift levers, conduits and sensors, and it is moving to sell whole assemblies. Its history shows good economics: ₹36.7 crore of pre-tax profit on ₹166.5 crore of FY22 turnover, and a segment result of 21.3% on ₹252.06 crore in FY26. Greaves now owns all of it.

Industrial Solutions is the smallest segment, at 13% of core, and the most specialised. Its best-known product is the fire-pump engine. A fire pump has to deliver rated pressure the instant it starts, and global buyers insist on engines certified by FM and UL, two safety bodies. Management says “very few companies in the world” hold those listings. In the second quarter of FY27 Greaves launched a 750 HP version. The segment fell 5% in H1 FY27 on paper, because Greaves exited finished farm machines, which Chinese imports had made very competitive. Strip that out and the rest grew 9%. Exiting a bad business to protect a good one is not a retreat; it is housekeeping.

Now the part that moves the group's results most: the investees. GEML makes Ampere electric scooters. In the latest quarter it earned ₹93,100 of net revenue per scooter and lost ₹6,300 of EBITDA per scooter, down from a loss of ₹20,000 a year earlier. Vikas Singh, GEML's MD, said, “Dealer throughput has improved by almost 40% year-on-year per dealer, from 18 to 25 units per month.” The factory at Ranipet can make about 40,000 a month and

runs at about 40%. A scooter at ₹1,29,999 gets up to ₹5,000 from the PM E-DRIVE subsidy, around 4% of its price. Charlie Munger said, “Show me the incentive and I will show you the outcome.” Remember September 2023, when the incentive was taken away and volume fell 56%. GFL, the lender next door, now manages ₹630 crore of loans, which supports its customers' purchases and adds to the group's debt.

One more vehicle belongs to the investee story. L5 is the official class of full-size three-wheelers, the auto-rickshaws and small cargo carriers you see in every Indian town. GEML's MLR Auto builds electric and diesel versions at Toopran in Telangana, with capacity of 18,000 a year, and one electric model set an India Book of Records mark of 324 km on a single charge. Its diesel L5 share was 4.2% in Q2 FY27. Here too the government mattered: PM E-DRIVE support for electric L5 vehicles closed on 26 December 2025 when its funds ran out, so buyers now decide without it.

Look at the places where we simply cannot see. The filings give no price for a genset, an engine, a cable or a fire pump. They give no volumes and no customer shares beyond a statement that no customer dominates. They do not say how much of Energy's revenue is service. They do not give the genset order book. When you meet a gap like this, there are two sane responses: assume the worst or ask for more. We recommend the second, and in the chapters ahead we flag each gap where it matters.

Now weigh the mix both ways. The bull reading says Energy grew 20% in FY26 and 28% in H1 FY27, auto engines grew 37% in Q2, Excel grew 30%, GEML's revenue doubled, and the core holds ₹110 crore of net cash. The bear reading says the core margin fell nearly three percentage points in a year, Industrial is flat to down, Excel shrank in FY26, the diesel three-wheeler market is shrinking, and GEML has never earned an operating profit. We lean on the first reading for revenue and the second for margin. The mix is getting bigger faster than it is getting richer.

One last detail on where the money comes from. Overseas sales were ₹343.93 crore in FY26, 10.0% of the statutory total and up almost 73% on the year, and management's own measure of international share is 13% of core revenue. Customers sit in Europe, the Middle East, Africa, Nepal and the United States. Ninety percent of the group's revenue is still earned in

India, so Indian rules on emissions, subsidies and monsoons matter more to Greaves than any foreign factor.

So here is the summary you can carry. The core businesses, Energy, Mobility and Industrial, earn healthy margins on engines and cables and are growing at 16-20%. The investees grow faster and lose money. The data about each core segment's profit and each product's price is missing. In the next chapter we follow a product from plant to customer and ask whether Greaves keeps enough of every rupee.

> **NARRATOR'S REFLECTION**
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> A business description that only lists products tells you what a company makes. A good one tells you who pays, why, and what keeps them paying. Greaves answers the second part well for gensets and fire engines, where service and certification hold the customer, and less well for the diesel three-wheeler engine, where the customer base is shrinking.

> **NARRATOR'S REFLECTION**
>
> The most useful number in this chapter is a loss: ₹6,300 per scooter. It is small enough to be hopeful and large enough to remind you that the group's best-growing business has not yet earned its keep. Follow that figure each quarter.

CHAPTER III

Distribution, Supply Chain & Unit Economics

> *"In the automotive business, we have very strong multi-year contracts, where there is a raw material indexing mechanism, but it comes with a lag."*
>
> — PARAG SATPUTE, MANAGING DIRECTOR & GROUP CEO, GREAVES COTTON, Q2 FY27 EARNINGS CALL, 29 OCTOBER 2026

Imagine you are standing beside the engine line at Shendra, the Greaves plant outside Chhatrapati Sambhajinagar, as a finished engine is lifted onto a truck. Where does it go? You and I could follow it to a three-wheeler assembly line, to a genset yard in Pune, or to a French factory that makes microcars. Every road ends in a different kind of customer, and every customer pays in a different way. That is the first lesson of this chapter. A company that looks like one business from the outside can be four or five, each with its own cash rhythm.

Start with the customers who sign contracts. A vehicle maker cannot swap an engine supplier on a whim. The engine has to pass emission tests and durability tests, and then it is built into a vehicle that will be sold for years. Greaves told its investors that these contracts are multi-year and carry a raw-material clause, “but it comes with a lag”. That one phrase explains the company’s recent margin squeeze. When aluminium, copper and platinum-group metals rise, the clause protects the engine maker only after a few quarters. Until then, Greaves pays the higher price and waits to be reimbursed.

Now meet the customers who never sign anything with Greaves. A mechanic in a small town buys a spare through a retailer, who buys from a distributor, who buys from Greaves. The company counts more than 7,000 retailers and 20,000 mechanics in that chain, yet it pruned the dealer and distributor count from 1,755 to 1,255 in a year. Why would a growing company shrink its own network? Because a thin, active channel beats a thick, sleepy one, and because management exited whole categories such as two-wheeler parts. The lesson for you is to watch what a company stops selling, not only what it starts.

The electric two-wheeler arm sells in an entirely different way. Think of a showroom in Patna or Chennai, where a buyer chooses a scooter by price, range and the monthly loan instalment. The head of that unit, Vikas Singh, put the key number plainly: “Dealer throughput has improved by almost 40% year-on-year per dealer, from 18 to 25 units per month.” If you and I were running that business, this is the figure we would check every quarter, because it says whether the new dealers are real or decorative. It also exposes a gap. The company still holds only about 3% of registrations in the North and West, against about 7% in the South and East.

Here is a question every manufacturer must answer: where do the parts come from? The finance chief named the family of metals, “aluminium, iron, copper, PGM”, the last being platinum-group metals. For the electric side, add battery cells, magnets and tyres, many of them imported. A customs authority once treated imports of scooter parts as complete kits and sent a bill of ₹56.44 crore plus interest, which the company is contesting. So the engineers built a motor that uses no rare-earth magnets at all. When you read a supply chain, look for the single input that a rival or a government can switch off, and ask what the company has done about it.

Then the money. Greaves does not hand you a price list, but its accounts show the rules. Revenue is booked after discounts, and in FY26 those discounts took ₹75.30 crore off contracted sales of ₹3,511.92 crore. Warranty is booked as a promise, and the group now carries a provision of ₹111.31 crore. A battery warranty of five years or 75,000 kilometres is generous for any vehicle maker. For a company still losing money on each electric scooter, it is a bet that the cells will last longer than the losses do.

How fast does cash come back? On the audited numbers, receivables took about 37 days to collect in FY26, inventory sat for about 50 days, and suppliers were paid after about 92 days. Add the first two and subtract the third and you get a negative cycle, which means suppliers fund the business. That is good news. Yet the group generated only ₹32.58 crore of operating cash on ₹3,436.62 crore of revenue, while the parent alone generated ₹347.57 crore. Where did the other ₹315 crore go? Mostly into loans made by the group’s EV lender and into the working capital of the electric arm. Profit that sits in a loan book is real, but you cannot use it to pay a dividend.

The waterfall in the web edition puts a human scale on it. Of each ₹100 Greaves invoiced in FY26, about ₹67 bought materials, ₹11 paid people and ₹15 covered everything else, leaving about ₹7 of EBITDA. Depreciation, interest and tax then took most of what was left, and about ₹1 reached the bottom line as profit. Operating cash was also about ₹1, and capital spending took another ₹2.78, so free cash flow was negative. Where did the tax come from? The parent earns real profit and pays real tax, while the losses in the electric arm do not appear to shelter it. This is an inference, but the 69% effective tax rate points that way.

Charlie Munger said, "Show me the incentive and I'll show you the outcome." The incentive here is a subsidy, and it deserves its own paragraph. The government agrees to pay part of the price of each electric scooter. The maker hands the discount to the buyer at the showroom, then claims the money back. If the ministry later decides that the vehicle's parts were not made in India as the rules required, it can ask for the money back, with interest, and cancel what it has not yet paid. That is what happened here: ₹139.98 crore refunded in October 2023, ₹337.34 crore of receivables provided for, ₹477.32 crore in all. Unit volume fell from 1,08,710 to 47,818 the next year.

What has changed since? The incentive is now capped at ₹5,000 a vehicle, half of what it was in the first year of the new scheme, and the open receivable is under ₹13 crore. The company no longer lives or dies by the cheque. But the buyer still compares a scooter with a petrol one, and a few thousand rupees decides many of those comparisons. If you follow a company like this, ask not only how much subsidy it receives, but how fast it would lose volume if the cap fell again.

What does one scooter earn? The numbers are young and still negative, but they are moving in the right direction. A year ago each unit brought in ₹85,100 and lost ₹20,000 at the EBITDA line. In the latest quarter each brought in ₹93,100 and lost ₹6,300. The plant runs at about 40% of its design, so as volume rises, each scooter carries less of the factory's fixed cost. We cannot give you the same figures for an engine or a genset, because the company does not publish them. For those, the signal is the segment margin: 16.3% in FY26, then 14.2% in the first half of FY27, with commodity costs to blame.

So what should you carry out of this chapter? First, the core engine and genset businesses turn cash quickly and are funded by suppliers. Second, the group's cash is being absorbed by

lending and by a young EV business, and the rights issue of ₹530 crore is meant to cover that for 12 to 18 months. Third, pass-through lags decide margins when metals rise, and subsidy rules decide volume in electric vehicles. The next question is whether anyone else in these markets can take the profit away. That is Chapter 4.

NARRATOR'S REFLECTION

Cash is where a business tells the truth. Greaves reported a profit in FY26, yet its group operating cash was thirty-two crore on three thousand four hundred crore of sales. The parent alone made three hundred and forty-seven crore, so the engine business is not the problem. When a company runs a manufacturer, a lender and a subsidised EV start-up under one roof, ask which unit is spending the cash, and whether its customers or its owners will pay for it in the end.

NARRATOR'S REFLECTION

Warren Buffett has written that you only learn who has been swimming naked when the tide goes out. A subsidy is a rising tide. It lifts every maker in the segment, and it hides who can earn a margin without it. Greaves has already seen the tide leave once, in FAME-II, and the capped incentive of today is a smaller tide. The useful question is what each scooter earns when the cap falls to zero.

CHAPTER IV

Industry Structure, Competitive Moat & External Learning Hub

> *"A truly great business must have an enduring moat that protects excellent returns on invested capital."*
>
> — WARREN BUFFETT, BERKSHIRE HATHAWAY SHAREHOLDER LETTER, 2007

Suppose you and I owned a corner shop. What would stop a rival from opening next door and taking half our customers? Answer that, and you have found the moat. Warren Buffett built a career on that question, and it is the right one to ask of Greaves. But Greaves is not a corner shop. It sells engines to vehicle makers, gensets to hospitals, spares to mechanics and scooters to families. Each of those is a different shop with a different street, and each deserves its own answer.

Take the engines first, because they are the oldest part of the company. Greaves says it is the largest maker of single-cylinder diesel engines in the country and holds about 60% of diesel three-wheeler engines. A vehicle maker will not change that supplier lightly, because the engine has to pass emission tests and years of durability checks. A French microcar maker uses a Greaves engine and has no second source. That is a real moat. Now the other side of the ledger: the credit-rating agency writes that the three-wheeler diesel engine industry is "continuously shrinking", although Greaves remains its leader. A strong castle on a shrinking island is still a strong castle, but the island is getting smaller.

Gensets are a different contest. Picture a hospital manager choosing a standby generator. She cares about three things: will it start, will someone come when it does not, and what will the spares cost? The engine inside matters less to her than the service van. Mahindra Powerol sold about 24% of the country's diesel gensets in FY25. Greaves has about 4%, by its own estimate. The company's medium-horsepower range grew 35% in the first half of the year, and that is good news, but the CEO is honest about the limits: "We do high horsepower engines but at a limited level." Data centres want exactly that kind of engine.

Look at the numbers for the quarter to September 2026. Greaves' core margin was 11.5%, down from 14.8%. Kirloskar Oil Engines, a peer that makes similar products, went from

14.0% to 11.0%. Cummins India saw profit before tax fall 28% on only 4% higher sales. Costs rose for everyone, and no one could pass them on at once. What does that tell you? That the squeeze is a cycle, and that none of these companies has the kind of pricing power that lets a business raise prices on the day its costs rise.

Think about switching costs for a moment, because they are the heart of any moat. When a vehicle maker changes its engine, it must retest the vehicle, retrain its line and risk a recall. That is costly, so engine suppliers keep customers for years. When a hospital changes its genset brand, it risks nothing but a phone call to a new dealer. So the same company enjoys sticky customers in one business and fickle ones in another. Qualification cycles, the months or years a part needs to be approved, protect the first and barely touch the second. Before you trust any claim of a moat, ask how long it would take a rival to be approved, and what the customer would lose by waiting.

Then there is the electric scooter, where the picture changes sharply. In October 2026, Indian buyers registered about 2.24 lakh electric two-wheelers. TVS took 27%, Bajaj 22%, Ather 14%, Hero 13%, and Ampere about 4.8%. The three biggest legacy two-wheeler makers lifted their combined share from 53% to 62% in a year and captured about four out of every five extra vehicles. Why? Because they already had showrooms, service centres, parts and low-cost loans. In this market, your moat is a dealer on every corner and a mechanic who knows the bike. A newcomer, even a well-funded one, has to build those before it can earn a margin.

What does Ampere have to set against that? A value price, a captive lender that approves a loan in under 2.5 minutes, batteries that all use the LFP (lithium iron phosphate) chemistry, and a motor without rare-earth magnets that is due in new launches from the fourth quarter of FY27. These are useful edges, and the unit loss shows they are working: from ₹20,000 a scooter to ₹6,300 in a year. But they are edges, not walls. A rival can copy a loan product in a quarter, and a larger rival can fund price cuts for longer than a smaller one can fund losses.

Policy sits on top of all this. The government's PM E-DRIVE scheme pays up to ₹5,000 on each eligible electric two-wheeler, half of the first-year cap, and the three-wheeler window closed in December 2025 when the money ran out. Every maker can claim it, so it is a tide, not a moat. Greaves learned the hard way what a tide can do: the ministry challenged its

parts sourcing under the earlier scheme, and the company refunded ₹139.98 crore and provided for ₹337.34 crore more. A good rule is to ask, of any subsidised business, what its margin would be if the cheque stopped arriving.

The bull and the bear both have a case. The bull says Greaves has narrow but real moats in engines, a growing genset range, a spares network and a core that holds ₹110 crore of net cash. Its electric scooter loss per unit has fallen from ₹20,000 to ₹6,300 in a year on a plant that is only 40% used. The bear answers that the core margin has fallen from 14.8% to 11.5% in a year, the electric arm has asked its owners for fresh equity twice since 2022, write-offs keep coming, and the ₹15,000 crore ambition for FY30 needs growth near 44% a year. Both have the facts right. They are describing two companies.

Our judgment follows that split. For the core, we think it is more likely than not, roughly six chances in ten, that the margin climbs back to at least 13% once metal costs have been passed on. For the electric arm, we think sustained positive EBITDA by the end of FY28 is a little less likely than not, near four in ten. These are our probabilities, not the company's promises. We would change them if metal prices keep rising, if the subsidy is cut again, or if scooter volume stalls while the plant stays at 40% use.

History offers a warning. Hero Electric was one of India's earliest electric scooter makers and an early recipient of subsidy. The ministry demanded about ₹133 crore back for alleged breaches of local-sourcing rules, buyers moved to faster scooters, and the company went into insolvency. Its best rescue plan won 47.66% of creditor votes when 66% was needed, and a tribunal ordered liquidation in March 2026. Greaves is not Hero Electric. It has a rated parent that has put in ₹331 crore, and a share near five percent, though it also sells a low-speed line. But the same two things threaten both: dependence on a subsidy and a shortage of scale.

Charlie Munger liked to say, "Invert, always invert." Instead of asking how this company succeeds, ask what would have to go wrong for it to fail. For Greaves the list is short: metals keep climbing, the subsidy falls, scooter share stalls under five percent and the parent keeps funding. If you can watch those four things, you will know more about this company than most of the people who talk about it. The last section of the web edition lists where to watch, listen and read for yourself.

NARRATOR'S REFLECTION

A moat is not a thing a company says about itself. It is a gap between what a rival would have to spend to copy you and what you earn by not being copied. Greaves has such a gap in three-wheeler engines and firefighting engines, a thin one in gensets and none yet in electric scooters. The investor's task is to match each belief to evidence, and to remember that a subsidy, however welcome, is never a moat.

NARRATOR'S REFLECTION

Failures teach more reliably than successes. Hero Electric did not fail because electric scooters were a bad idea. It failed because it depended on a subsidy it could not control, lost to better products and ran short of cash. When we weigh GEML, we are really asking how much of its progress depends on its parent's balance sheet, and how much on its own customers.

GLOBAL PARALLEL • INDIA, ELECTRIC TWO-WHEELERS, 2007–2026 • HERO ELECTRIC (INDIA) (FAILURE_BASE_RATE)

One of India's earliest electric scooter makers was an early FAME subsidy beneficiary with a low-speed portfolio and a large dealer network . It was named among makers accused of breaking the Phased Manufacturing Programme (local-sourcing) rules, and the ministry sought about ₹133 crore back, which Hero disputed while claiming ₹556 crore of unpaid subsidy. Buyers moved to faster scooters from Ola, Ather and TVS, working capital tightened and new products came late. A government committee first found no violation, but an independent fraud investigation continued. Insolvency began on 20 December 2024. The highest-voted rescue plan won 47.66% of creditor votes against the 66% required, the process expired on 13 February 2026, and the tribunal ordered liquidation in March 2026. Admitted claims included Bank of Baroda ₹55.36 crore, South Indian Bank ₹17.62 crore, IDFC First Bank ₹9.43 crore and an unsecured vendor ₹47.87 crore . GEML shares the exposure: a FAME refund of ₹139.98 crore, a low-speed Reo line, and a net worth of only ₹59.65 crore at 31 March 2026 before the 2026 rights issue . It differs in having a parent that put in ₹331.12 crore and a rated balance sheet . One failure is not a statistic, but the mechanism is clear, and Cummins' electrolyzer write-down below shows the same pattern in a stronger company. Subsidy dependence without scale is where the risk concentrates, so share (4.8%) and unit loss (−₹6,300) matter more than any single quarter.

CHAPTER V

Leading KPIs, Structural Potential & CEO Walk-the-Talk Audit

> *"The improvement in margins has been slower than we had anticipated."*
>
> — PARAG SATPUTE, MD & GROUP CEO, GREAVES COTTON, Q2 FY27 EARNINGS CALL, 29 OCTOBER 2026

Imagine you are on the investor call of a mid-sized Indian engine maker on a late-October afternoon in 2026. The chief executive has just told the line what you already suspected from the numbers. Revenue is up a fifth. Profit margin is not. And then he says something most executives never say aloud: the improvement in margins has been slower than we had anticipated. You and I have a choice at that moment. We can take the candour as a sign of an honest team, or we can ask what else was promised that has not yet arrived. The honest answer is that we need to do both, and that is the work of this chapter.

Start with a simple idea. Profit is a lagging report card. By the time it prints, the story has already happened on the shop floor. A leading indicator is the thing you can watch before the report card arrives, like a farmer checking cloud cover before the harvest tally. For Greaves we picked six such clouds. How many electric scooters did the Ampere plant bill, and what share of new registrations did they win? How much does each scooter still lose? How fast are the medium-sized generator sets selling? How quickly are three-wheeler engines leaving for the assembly lines? How much of every rupee of sales is eaten by metal? And is stock piling up in the warehouse before it turns into cash?

The first pair tells the story of the electric subsidiary. In the September quarter it billed 37,649 scooters, more than double a year earlier, and its share of registrations edged up to 4.8 percent for the half-year. Each scooter lost about 6,300 rupees at the EBITDA level, down from about 20,000 a year ago. EBITDA, in plain words, is operating profit before depreciation and interest. Think of it as the profit a business makes from simply running, before it pays for the machines and the loans. A loss that shrinks by two-thirds while volume doubles is real progress. It is also still a loss, and the plant is working at roughly two-fifths of its capacity.

The second pair belongs to the core. Medium-horsepower generator sets, the 160 to 750 kVA machines that keep hospitals and malls running through a power cut, grew 35 percent in the half-year. Auto engines grew 37 percent in the quarter. Those are strong numbers. Yet the margin that matters fell from 14.8 percent to 11.5 percent. Why? Because aluminium, copper, iron and platinum-group metals all got dearer, and the contracts that let Greaves pass those costs to its customers work with a lag of several months. Management says the full relief arrives in the last quarter of this fiscal year. That is a date, and a date is something we can check.

The sixth cloud is the least glamorous, and often the one that matters most. In the half-year to September, inventories on the balance sheet grew from about 314 crore rupees to about 455 crore. Money owed by customers grew from about 345 crore to about 417 crore. Cash from operations was a negative 212 crore. Part of that is the electric lender, which must put cash out before it earns interest, so you cannot blame all of it on the factories. Still, you and I should notice that a company can grow its sales by a fifth and finish the half-year with less cash than it started with.

There are two smaller dials worth a glance. Excel Controlinkage, the Nagpur maker of cables and gear levers that Greaves bought in stages, shrank 6 percent last year and then grew 14 and 30 percent in the next two quarters, helped by new orders from overseas vehicle, construction-equipment and tractor makers. And the plan to enrol thousands of independent spare-parts retailers has gone quiet. The last firm number was about 350 retailers against a target of 3,000. When a company stops quoting a number it used to be proud of, that silence is a data point too.

Now ask the question every long-term reader should ask: how big can each business get? Here the filings are thinner than we would like. Greaves does not disclose how many engines or generator sets its factories can build, so we cannot compute utilisation for the core. What we do know is that it holds about 4 percent of an industry that makes roughly 1.5 lakh diesel sets a year, led by Mahindra Powerol with about 24 percent. That is a small share in a growing market, which is good news for volume. It is not a moat. The diesel three-wheeler engine, Greaves's best-known product, sits in a market that the rating agency calls

continuously shrinking. So the growth has to come from share, from exports and from the parts and service that follow a machine for decades.

The electric plant is the opposite case. It can build 4,80,000 scooters a year and is billing at roughly a third of that pace. Capacity is not the constraint. Dealers, brand and the cost of financing a buyer are. A quick check shows how easily a headline can mislead. Management says utilisation is about 40 percent. But 37,649 scooters over three months is about 12,550 a month, which is about 31 percent of a 40,000-a-month plant. The two figures are probably reconciled by recent months running hotter than the quarter average. Still, it is a reminder to do the small sum yourself.

Which brings us to the heart of the audit: did the people speaking on those calls do what they said? We went through the transcripts from May 2024 to August 2026 and scored every promise whose outcome can be read from a filing. Three were met, five were partly met and two were missed. The missed ones are the telling pair. In May 2024 the finance chief spoke of a standalone return on capital of more than 50 percent; the annual report shows 21 percent. And in early 2025 the board said the electric subsidiary would raise money through a public listing; in July 2026 it dropped the plan and raised 530 crore rupees from its two existing owners instead.

The met promises are just as informative. The company said it would bring the engine business back to a 13 to 15 percent margin, and it has held 13 to 14 percent for three years. It said diesel three-wheelers would hold up better than the electric-switch story implied, and engine revenue has grown more than a third in recent quarters. Do you see the pattern? When the promise is about something the company builds and sells itself, it keeps its word. When the promise depends on a subsidy rule, a commodity price or a capital market, the word is less reliable. That is true of most industrial managements, but it helps to see it in numbers.

Then there is the big number. In early 2025 the board spoke of a vision of 15,000 crore rupees of revenue by 2030, six times the size of the business. The company made 3,437 crore in the year to March 2026. To reach 15,000 crore in four more years it would have to grow about 44.5 percent every year. The stated organic plan is 16 to 20 percent a year. Applied to the core business, that gets you to between 4,825 and 5,526 crore. The rest,

between roughly 9,500 and 10,200 crore, must come from the electric subsidiary and from buying other companies. Even if the scooter business grew 40 percent a year, you would still need acquisitions about the size of the whole group today, or some 26 to 28 businesses of the size of Excel Controlinkage.

So what do we make of a management that is candid, mostly accurate about what it controls, silent on dates for what it does not, and attached to a goal the arithmetic does not support? The Russian proverb that Ronald Reagan made famous says trust, but verify. We would trust the 16 to 20 percent core growth ambition, because the first year and a half back it. We would treat the 2030 figure as a flag planted on a distant hill rather than a route. And we would watch three things in the next two quarters: whether the core margin turns up as promised, whether the scooter business posts its first positive EBITDA, and whether cash flow improves without help from suppliers. Those are the places where words become numbers.

NARRATOR'S REFLECTION

Richard Feynman said the first principle is that you must not fool yourself, and you are the easiest person to fool. When a management speaks plainly about its misses, it is tempting to treat the plainness as proof. Candour is a good sign about character. It is not a substitute for a delivered number. The discipline of this chapter is simple: give credit for what has been delivered, write down what is still promised, and check it on the date.

NARRATOR'S REFLECTION

A target that needs 44.5 percent growth every year for four years is not a plan. It is a mood. The useful thing about a mood is that it tells you what the people in the room would like to be true. Read the 15,000 crore vision that way, and read the 16 to 20 percent organic target as the plan.

CHAPTER VI

10-Year Financial Forensics, Cash Conversion & Balance Sheet

> *"We do not expect further funding for the next 12 to 18 months period at all and thereafter we expect the business generate cash on its own."*
>
> — MANISH PODDAR, GROUP CFO, GREAVES COTTON, Q2 FY27 EARNINGS CALL, 29 OCTOBER 2026

Picture an auditor at a quiet desk in a Pune office, late in the evening, with three statements open side by side. The profit and loss says the company made money. The balance sheet says it owns a lot. The cash flow statement says, in the flattest language accounting allows, that the cash never arrived. You and I are going to read Greaves the way that auditor would, because the quickest way to understand a company is to ask where the cash went.

Let us first agree on the three words that carry this chapter. EBITDA is the profit a business earns from its operations before the cost of its machines wearing out and before interest. Operating cash flow, which we will call CFO, is the cash those operations actually put in the bank after changes in stock, customer credit and supplier credit. Working capital is the money tied up in that stock and credit. A healthy business turns its EBITDA into CFO within a year or two. A business that does not, year after year, is telling you something, however good the profit line looks.

For the first seven years in our table, Greaves did what a healthy business does. From the year to March 2015 to the year to March 2021 it generated about 1,243 crore rupees of operating cash. Its margin was between 11 and 15 percent, it carried no debt for much of the period, and it paid out most of its profit as dividends. Then came a run of bad luck and some bad decisions. A pandemic. New emission rules that forced a redesign of engines. A shortage of chips. A spike in metal prices. In the year to March 2022, operating profit fell to 25 crore rupees, which is 1.5 percent of sales.

The next four years are where the forensics get interesting. In FY23, the company took in about 1,171 crore rupees from Abdul Latif Jameel, which bought a little over a third of the

electric subsidiary. It repaid its borrowings and sales jumped 58 percent to 2,699 crore. And yet operating cash flow was negative by 135 crore, because 332 crore had gone into other assets, mostly a subsidy receivable from the government. The company was owed money for scooters sold, and was counting that as revenue before it was collected. In 2023 the government alleged that the subsidiary had not followed the local-content rules, and the receivable was written down. Think about what that does to the word 'profit'.

That write-down, 477 crore rupees including a 140 crore refund, turned a profitable year into a loss of 367 crore. A gain of 150 crore from selling land in Pune softened the blow, but the tax on that gain, 114 crore, made the cash picture worse. Next year the loss was small, and after that a recovery began. In the year to March 2026 operating profit reached 239 crore, its highest since FY19, and the cash flow turned barely positive at 33 crore. In the half-year to September 2026 it went to negative 212 crore. If you stopped there, you would think the company was in trouble.

But look closer, as an auditor would. The company has a lending arm that finances electric scooter buyers. A lender has to hand out the loan before it earns the interest, so as its book grows, cash flows out of operations. In the half-year, about 205 crore rupees went into that book, almost exactly the 206 crore by which loans on the balance sheet grew. Take that out and operating cash flow is about negative 7 crore, close to break-even. Stock grew by 141 crore, but suppliers financed most of it, by 98 crore. So the picture is neither alarming nor reassuring. It is a growing group that is using cash, partly by design.

Now separate the two stories, the way the company itself now does. In the first half of this fiscal year the engine and generator business earned 178 crore rupees of EBITDA on sales of 1,478 crore, a margin of 12 percent. A year earlier it earned 184 crore, or 14.9 percent. Sales rose by a fifth and profit slipped. The scooter business lost 63 crore at the same level, against 78 crore a year earlier. Put the two together, add a small amount from the lender, and the group earned 130 crore. Notice that the group's margin barely moved, around 6 percent, while its two parts moved in opposite directions. A single blended number hid both stories.

Debt tells a similar story. In FY23 the group had almost none; by September 2026 it had about 569 crore, counting leases. Where did it go? At least 193 crore of the March 2026 debt is match-funded, which is a clumsy phrase for a simple idea: the lender borrowed money

against loans it made and will repay from the borrowers' instalments, the way a bank does. Another 108 crore is working-capital loans for the scooter maker, and 20 crore is a loan from its minority partner. The engine business itself holds 150 crore of cash against 40 crore of debt. You would not guess that from the consolidated figure.

Is this slip in the core a sign of a weaker business, or of a cycle? Ask the peers. Kirloskar Oil Engines, a rival, saw its standalone margin fall from 14 percent to 11 percent in the same quarter, on sales that were up 19 percent. Cummins India's sales rose 4 percent while its pre-tax profit fell 28 percent. When emission rules force a redesign and metals get dearer faster than contracts reprice, everybody's margin drops, even as revenue climbs. That is a cycle, and Greaves's own history shows how deep one can go: 15 percent in FY17, 1.5 percent in FY22. The test is simple. Do the raw-material costs, now close to 68 percent of core sales, drift back toward the 64 percent of a year ago when contracts catch up, which management expects by the last quarter of this fiscal year?

What about the quality of the profit? Here are some honest observations. Of the 35 crore of profit the group reported for FY26, minority shareholders absorbed a loss of 72 crore, so the shareholders of Greaves themselves earned 107 crore. That is a good number that comes from the scooter maker's partners paying their share of its losses. Charges keep arriving: 39 crore in FY26, then 60 crore in the September 2026 quarter, including a write-off of goodwill on an e-rickshaw acquisition and a brand that was dropped. The finance chief says there is nothing more at this stage. He also says the review happens every quarter. You can believe both and still budget for more.

One more flow deserves your attention: what was paid out and what was put in. The company has paid a dividend of two rupees a share each year, about 47 crore rupees, even in years when operating cash was negative; across FY23 to the latest half-year that is about 165 crore. Over the same period the parent put 331 crore into the scooter maker through a rights issue in July 2026, and its minority partner added 199 crore. A rights issue is a new share sale offered to existing owners in proportion to what they already hold, so the ownership split did not change. What changed is that the business now has the cash for 12 to 18 months of burn, in the finance chief's words. A cash cushion bought with the owners' own money is real, and it is also the price of the last four years.

Return on capital, which asks how much operating profit a company earns on every rupee tied up in it, is the number most readers skip and should not. For FY26, our arithmetic gives about 7.4 percent, or about 11 percent if you strip out the large pool of idle cash. The engine business alone earned 21 percent on its own capital. The gap is the cost of the scooter business, 424 crore of acquired goodwill and intangibles, and treasury cash earning a modest rate. Whether Greaves can close that gap is the whole question for a long-term owner.

There is one last thing to look at, and it is the boring part of the annual report that most people skip. The contingent liabilities, which are claims the company disputes but has not provided for, add up to about 254 crore rupees. The largest is a customs demand of 129 crore, of which the central piece is 56 crore over whether imported scooter parts counted as kits. The auditors, a new firm from FY26, gave a clean opinion and flagged goodwill as the key area of judgment. The scooter maker's partner is also its lender. None of that is an alarm. All of it is the kind of footnote that a patient reader remembers when the next surprise comes.

So what do we conclude? You and I are not looking for a villain. We are looking for the point where words turn into cash. The engine business looks like a sound, cyclical manufacturer that has recovered its margins and carries no real debt. The electric subsidiary looks like a young business that has, at last, started to lose less per scooter and has been funded for another year or so. The consolidated accounts mix the two, add a lender, and make the group look worse on cash than the core would. If management is right, the next 12 to 18 months will show the scooter maker running on its own cash. If it is wrong, the statements will show it first.

> **NARRATOR'S REFLECTION**
>
> Warren Buffett wrote that only when the tide goes out do you discover who has been swimming naked. In accounts the tide is cash. A year of good profit with weak cash is a swimmer who has not yet been tested. Greaves had five such years, and for most of them the cause was a receivable from a government and a lender growing its book. Ask of every profit: when does this turn into money, and from whom?

NARRATOR'S REFLECTION

Charlie Munger said that if you show him the incentive, he will show you the outcome. A subsidy is an incentive that the customer, the manufacturer and the regulator all read differently. The FAME episode cost Greaves 477 crore rupees because the rules for earning the subsidy were not the same as the rules for selling a scooter. Today the subsidy is only about 5 percent of an Ampere's selling price, which is a healthier base.

GLOBAL PARALLEL • INDIA, CPCB IV+ EMISSION TRANSITION AND COMMODITY SPIKE, 2023–2026 • KIRLOSKAR OIL ENGINES AND CUMMINS INDIA, PEER ENGINE AND GENSET MAKERS (CYCLE_VALUATION)

A new emission rule adds costly content (exhaust treatment, electronic injection), lifts unit prices and triggers pre-buying, then volumes settle below the old level while metal prices run ahead of contract repricing. Margins whipsaw even when revenue grows, because pricing is set quarterly and costs move daily. CPCB IV+ genset volumes ran at 80–85% of CPCB-II levels with price increases of 5–18% . In Q2 FY27 Kirloskar's standalone EBITDA margin fell from 14.0% to 11.0% on revenue up 19% ; Cummins India revenue rose 4% while pre-tax profit fell 28.4% . Greaves' core margin fell from 14.8% to 11.5% on revenue up 24% . Greaves' group margin has swung 15% (FY17), 1.5% (FY22), 7.0% (FY26) . Greaves' earnings are cyclical in margin more than in revenue, so a single year's EBITDA is a poor guide to the through-cycle level. The operating test is whether raw materials return from 67.8% of core revenue toward the 64% of a year earlier as OEM indexation catches up in Q4 FY27 . If the pattern holds, the core margin recovers with no help from volume. If it does not, the 2022 precedent shows how far the margin can fall.

CHAPTER VII

Why the Price Is What It Is: Valuation, Reverse DCF & Peer Comps

> *"It's far better to buy a wonderful company at a fair price than a fair company at a wonderful price."*
>
> — WARREN BUFFETT, BERKSHIRE HATHAWAY SHAREHOLDER LETTER, 1989

On Friday evening, 13 November 2026, a single number sat on the screen: ₹225.97. It looked solid, the way a price always does. But a price is a vote, not a fact, and the useful question is what the voters believe. So let us take the number apart and see what is inside it.

Start with the history, which we deliberately held back until now. If you plotted Greaves Cotton's shares since FY15 you would see three humps. The first, up to about ₹179 in FY18, belonged to the engine business, when the company earned 14 to 15 paise of operating profit on every rupee of sales and carried almost no debt. Then Covid arrived and the shares fell about 63% to nearly ₹66. The second hump, in FY22, took the price to ₹258.9, nearly four times that low. Here is the odd part. In that same year the group's operating margin was 1.5% and its operating cash flow was negative. The market was not paying for what the company earned. It was paying for the electric story.

The third hump is the most instructive. In FY25 the shares touched ₹319.5, the highest price in the whole record, and also ₹112.1 in the same twelve months. By FY26 they were back at ₹120. That is a fall of roughly 62% from the peak. Meanwhile the business was recovering: FY26 operating profit of ₹239 crore was its best since FY19. So the market had marked down the story faster than it had marked up the earnings. A patient holder from March 2017 would be sitting on a gain of about 32% over almost ten years, roughly 3% a year before dividends. Revenue had more than doubled. Profit had barely moved. What does that tell you? That growth is not worth what you pay for it unless it turns into cash.

Now look at what the price is made of. Multiply ₹225.97 by 23.2951 crore shares and you get a market value of about ₹5,264 crore. Subtract the cash, add the debt and the leases, and you get an enterprise value of ₹5,226 crore, which is roughly what a buyer would pay for the

operating business. On trailing numbers that is about 20 times operating profit. The accounting hides two catches. Some of the cash sits inside the electric subsidiary after its ₹530 crore rights issue, and some of the debt is simply the lending arm's borrowing, matched against loans it has made.

You will also see that the share trades at 58 to 67 times trailing earnings, depending on whom you ask. Do not be alarmed, and do not be comforted. Trailing profit is small because the subsidiary lost ₹63 crore at the operating line in six months and because ₹60 crore of write-downs landed in one quarter. A high ratio on a small, damaged number tells you the market is looking through the damage. It does not tell you whether it is right to.

That is why we run a reverse DCF. Think of a restaurant bill. If someone tells you the bill was ₹5,226 crore, you can ask what the evening must have been like to justify it. A reverse DCF does the same with a share price. It asks what growth and what profit margin the business would need for ten years to be worth exactly today's price. The answer is about 12.5% revenue growth a year, as long as the group margin climbs from 6.5% to 12% by year five. Lower the margin to 10% and the growth needed jumps to 17%. At 8% it jumps to 24%. Greaves has grown revenue about 6.6% a year over eleven years.

Here we part company slightly with the easy story, which says the price is fair if the core holds its margin and the electric business merely breaks even. Do the sums on our own forecast and you find that a core earning 13.5% together with a breakeven subsidiary gives a group margin of about 8.9%, which needs growth of around 20% a year for a decade. To reach 12% the subsidiary would have to earn about 9%, and the only listed scooter maker that has come close to profit, Ather, still runs at a loss on its operating line. So the price needs a good outcome, not a miracle, and it needs one part of the business to surprise.

To value the two halves fairly we use a sum of the parts. Picture two shops under one roof. One is an old, profitable engine shop, which you value on its profit. The other is a young scooter shop with no profit yet, which you can only value on its sales. We built three scenarios for November 2028. In the bull case the engine shop earns 14.5% and gets a 16 times multiple, giving ₹427. In the base case it earns 13.5% at 13 times, giving ₹303. In the bear case the margin squeeze persists, the multiple falls to 9.5, and the scooter shop needs

another ₹150 crore from its owners, giving ₹152. Weight those at 25%, 45% and 30% and you get ₹288.7, which is 27.8% above today's price, or about 13% a year.

Notice that even in the bull case the scooter shop supplies only a tenth of the value. When the CFO says, “We do not expect further funding for the next 12 to 18 months period at all and thereafter we expect the business generate cash on its own,” he is making a promise that matters more for the bear case than the bull one. When the CEO admits that “the improvement in margins has been slower than we had anticipated,” he is talking about the engine shop's margin, which is where the value is.

Peers help but they can mislead. The two big engine makers, Kirloskar and Cummins, are both in downtrends, down about 18% in three months, even though they earn better returns than Greaves. So the engine group is being marked down while Greaves is being marked up, and that is the electric story again. TVS shows what a profitable petrol business can fund. Ola shows how a pure-play can lose half its revenue and still hold a ₹17,860 crore market value. Ather, worth ₹76,242 crore, shows what the market will pay for scale: about twenty-five times more per scooter registered than our base case pays for Greaves's Ampere. That does not make Greaves cheap. It shows how much is possible if the scale arrives.

Benjamin Graham's old line says the market is a voting machine in the short run and a weighing machine in the long run. Today the vote is warm. The weighing will come in February 2027, when the Q3 numbers show whether the core margin is back at 13% or still stuck near 12%. If it is 12%, our base case drops to about ₹273 and the return from here is under 10% a year. If it is 11%, we are near ₹253 and the return falls to about 6%. That one number is the assumption we trust least, so it is the one to watch.

So what should you take from all this? The price is not a bargain at ₹225.97. A weighted return of about 13% a year only just clears a 12% hurdle, and the margin of safety is thin. But from the ₹205 to ₹211 area it would be about 18% a year, a very different bet. Price and value are two different things, and the gap between them is where we get paid. The next chapter asks whether the chart will let us wait for that gap.

NARRATOR'S REFLECTION

A share price is the market's current answer to a question about the future. Greaves has been asked that question three times, and twice the answer was too high and was withdrawn. The discipline is to ask what the price needs to be true, then to wait until you are paid for the risk that it is not.

CHAPTER VIII

Stage 2 Technical Structure, Institutional Flow & Momentum Setup

> *"It never was my thinking that made the big money for me. It always was my sitting."*
>
> — EDWIN LEFÈVRE, REMINISCENCES OF A STOCK OPERATOR, 1923

Picture a staircase. Each flight rises, then the stair levels off into a landing, then rises again. A stock in a healthy uptrend climbs the same way, and the landings are where careful people get on. Stan Weinstein, who studied thousands of charts, gave those flights and landings names. Stage 1 is the flat floor at the bottom. Stage 2 is the climb. Stage 3 is the long landing at the top where the rise stalls. Stage 4 is the fall back down. His test is simple: is the price above its 30-week average, and is that average rising? Greaves Cotton passes it.

That is good news, and you should hold it lightly. Passing the Stage 2 test means the stock is allowed onto our list. It does not mean it should be bought today. Chapter 7 told you the business is conditional, not great, so the chart has to do something the business cannot: hand us a good price. Before going on, a word on dates, because honesty about them matters. The levels in this chapter use the Friday 13 November close of ₹225.97. Some of our supporting fields come from the Thursday bar, ₹223.18, one session older. The two sets agree on every structural point.

There is also a missing witness. A popular Stage 2 dashboard, dated 8 November, does not list Greaves among its 465 names, so there is no independent vote that the stock is a market leader. We worked out a likely reason. The share price a week earlier was about ₹203.4, barely 0.4% above its 30-week line of ₹202.50. When the dashboard was built, the stock was standing on the edge. The 11% jump of that week took it clearly over. We cannot prove that explanation, but it fits.

Look at the averages as a set of landings. The 10-week average is ₹208.14, the 50-day ₹204.14, the 30-week ₹202.50, the 200-day exponential average ₹197.84. Add the 20-day at ₹200.31 and the pivot midpoint at ₹200.30 and you have a thick shelf between about ₹198 and ₹208. The price, ₹225.97, is standing about 9% above the shelf's top. Picture a lift

that has run ahead of the staircase. If it comes back to the landing, the structure is healthy. If it falls through, something has changed.

Now listen to the three clocks. A daily clock reads 66.5 on the RSI, which scales recent gains against losses from 0 to 100. The weekly clock reads 57.4, comfortable. The four-hour clock reads 71.3, stretched. When the short clock runs hot over a calmer long one, the usual resolution is a cooling-off, either a pause or a pullback, while the slower clock catches up. That is the tempo gap, and it is why the options module labels this setup extended.

Then look up. A stock that has been this high before carries memory. Holders who bought near ₹244, ₹259 and ₹272 are sitting on losses and many will sell when they get back to even. The first test is at ₹229, only 1.4% above Friday's close. Beyond it lies a band of supply running to ₹272. The honest limit of our data is that we infer this from the price record and do not have volume by price.

What about the crowd? Volume is the footprint of big buyers. On Friday the stock traded 2.87 million shares, 1.31 times its 30-day average, on a rise of 1.25%. That is the one strong day. But if you take Friday out, the nine sessions before it traded about 1.50 million shares a day, roughly two-thirds of the 30-day average, while the price rose most of its 11% for the week. The ledger also counts six down days on heavy volume in the past 25 sessions. Smart money does not hide forever, and today it is not obviously buying.

Strength against the index shows a similar split. Over 63 sessions Greaves is about 9.5% ahead. Over 28 sessions it is about 14.9% behind, because it fell from its ₹271.90 high before it bounced. The broad market is in an uptrend, but narrow: 61% of the Nifty-500 pool sits above its 50-day average, and 52% above its 200-day. The sector picture, as of the dashboard's date, is patchy too: Engineered Goods is dense with Stage 2 names, Vehicle Finance and Pumps are thin. The stock has support, not leadership.

There is a rule that protects you from your own excitement. Our no-FOMO rule says that when a stock is more than 10% above its 10-week average, you do not buy it. Greaves is 8.57% above. Inside the cap, so the gate is open. But 10% above the average is about ₹229, almost exactly the first resistance. A few rupees more and the gate shuts by itself. Our own posture is firmer than the gate: wait.

So is there a short-term momentum edge today? We say no, not for a chaser. The price is more than two ATRs above its 50-day average. ATR, the average true range, is the typical daily swing, about ₹10 for this stock. A chaser also faces supply just overhead, uneven volume and a hot four-hour clock. The edge, if there is one, belongs to the patient. If the price falls back to the ₹205 to ₹211 shelf, the stop at ₹197.60 is only 3.6% to 6.5% away, and our ₹303 base target is more than six times that risk. At today's price the same target is only 2.7 times the risk. Asymmetry, the ratio of what you can win to what you can lose, is what we are waiting for.

The stop is not arbitrary. ₹197.60 sits just under the 200-day exponential average and under the whole shelf. A close below it means the staircase has failed. And because Greaves has no listed options, you cannot buy convexity cheaply; the only instrument is the share itself. That is another reason to be careful with the entry. A lift that has run ahead of the staircase is not an invitation. Livermore's old line, that his sitting, not his thinking, made the money, applies here: the job is to sit until the price comes to you.

Which levels would change our mind? A weekly close below ₹202.50 weakens the structure. A close below ₹197.60 rejects the setup. A close above ₹271.90 on strong volume, with the third-quarter core margin at 13% or better, starts an upgrade review. Nothing in between changes the plan. The next chapter puts the business and the chart together, hears the bull and the bear, and says what to do with the money.

> **NARRATOR'S REFLECTION**
>
> A strong chart is a fact about the past. It describes where buyers have been and says little about who is still buying. When the chart and the business disagree about quality, let the price be the tiebreaker, and be willing to wait for it.

CHAPTER IX

Bull vs. Bear, Portfolio Action & Redeployment Plan

> *"Confronted with a like challenge to distill the secret of sound investment into three words, we venture the motto, Margin of Safety."*
>
> — BENJAMIN GRAHAM, THE INTELLIGENT INVESTOR

Picture a Friday evening in November. You and I have the chart open and the stock has just closed up 1.25% at ₹225.97, after rising 11% in a week. The temptation is obvious. Greaves has a famous old name, a clean-looking uptrend, and a new management team that speaks plainly. Everyone around you seems to be saying the stock has finally turned. This last chapter is where all the evidence meets a price, and a price is where feelings turn into decisions.

Let us begin by arguing the other side of our own conclusion, because a verdict is worth little until it has survived its best enemy. First the bull, and I want you to hear him at full volume. He says the engine business is a real business. For three years the standalone margin sat at 13% to 14%. Gensets of medium size grew 35%, three-wheeler engines 37%, the cable maker 30%. The scooter business, once bleeding about ₹20,000 on every sale, now loses about ₹6,300. A ₹530 crore rights issue, with the Abdul Latif Jameel partner paying nearly ₹199 crore, has bought 12 to 18 months of runway. The people at the top are new, and the CFO says plainly that the group has ₹606 crore of cash against ₹513 crore of borrowings. Why would you stand aside from that?

Now the bear, with equal force. He says look at the cash. In the first half of this year the group's operating cash flow was minus ₹212 crore. Over five years it was negative while the company reported positive operating profit. Core margin fell from 14.9% to 12.0% on 20% more revenue, and the chief executive himself said the improvement had been slower than anticipated. The scooter unit still lost ₹63 crore at the operating line in six months and has no breakeven date, only management's words, fairly soon. The last time the subsidy rules turned, the company lost about ₹477 crore and volume fell 56% in a year. And the stated

ambition of ₹15,000 crore by FY30 needs growth that, on the arithmetic of Chapter 5, we rate well under one chance in ten.

So who wins? Neither wins outright, and that is exactly why we turn to probabilities rather than slogans. We gave the bull 25%, the base 45% and the bear 30%. In the bull world the core margin reaches 14.5% and the market pays 16 times core operating profit, giving ₹427 a share. In the base world the margin recovers to 13.5% and the multiple is 13 times, giving ₹303. In the bear world margin stays near 11%, the scooter business asks for another ₹150 crore, and the stock is worth ₹152. Multiply and add and you get ₹288.7, which is 27.8% above the live price over two years, about 13% a year.

The scooter business deserves one more look, because it is where the bull and the bear are both most certain. The market has shown you both endings in a single year. One listed electric two-wheeler maker has seen revenue fall about 49% over the last twelve months with an operating margin near minus 94%. Another, much larger in market value, is valued for its scale even though it still loses money at the operating line. Greaves Electric sits somewhere between them, with revenue doubling and a smaller loss per vehicle. Our weighting does not say it will succeed. It says that the base case values each rupee of its sales at about 45 paise, and the bear case values it at 20 paise and charges the parent another ₹150 crore.

Now I want to be honest about the soft spots in that number, because a precise-looking figure can fool you. The base uses 13 times core earnings before interest, tax and depreciation, and 0.45 times sales for the scooter company. Those are our judgments, not market prints. A second check, which values the group on earnings after minority losses at 30 times, gives about ₹273 rather than ₹303. If we used it for the base case, the weighted value would fall to about ₹275, and the annual return from today's price would drop to about 10%, below a 12% hurdle. So at ₹225.97 you are being paid roughly the hurdle if the model is right and less if it is slightly wrong.

Compare that with buying lower. From ₹208.14, the level where the ten-week moving average sits, the same weighted value gives about 17.8% a year. The base case alone gives about 20.7%. The upside barely changes; the price you pay does. That is Benjamin Graham's margin of safety in one picture. You do not need a better forecast. You need a cheaper entry.

Our zone is ₹205.02 to ₹211.26, and if the stock closes below ₹197.60 we walk away rather than argue with it.

I should also tell you what the numbers do not say. The ratio of reward to risk from the top of the zone is 6.7 to 1, and at today's price it is 2.7 to 1. Both clear the 1.5 line, which is the rule below which we would reject the stock. But that ratio compares a two-year target with a near-term stop, so it tells you about the quality of an entry, not about what will happen. The stop is also tight. Thirteen rupees sixty-six sit between the top of the zone and the stop, and the stock's typical daily swing is nearly ten rupees. You could be stopped out by noise and then watch the stock recover. A stop protects the plan; it does not promise a result.

Why not buy now, then? Three reasons, and you can test each yourself. The business is conditional, not a compounder: it is good at the core and unproven at the group level, because cash flow is negative and debt has risen. The price is stretched after a one-week jump. And the return from here only just clears the hurdle. Why not reject the stock? Because the core is genuine, the trend is intact, and from support the odds are lopsided in your favour. When a verdict sits between those two answers, the honest word is wait, and we say it with numbers attached.

Think about time as three separate clocks. In the next six months you should not chase. Third-quarter results are likely in early to mid February 2027, though the company has not told us the date in anything we read, and metal costs may still be squeezing the core. Over the next two years we like the stock from a lower price, because margin back to 13% or more, a scooter breakeven and positive operating cash flow are all plausible. Over five years we do not yet call it a compounder. Gensets, engines and cables can compound, but the scooter unit consumes capital and the group still earns about 10% on what it employs.

There is also the question of what you already own. In the Zerodha account Greaves is not held, so there is nothing to sell and no tax lot to worry about. But the book is full of cousins. SEDEMAC is 14.52% of the portfolio, TDPOWERSYS 6.85%, TARIL 6.25%, APARINDS 6.02% and JYOTICNC 2.5%. Together that is about 36% in auto and industrial cyclicals that tend to fall on the same bad days. A Greaves purchase would add to that bunch, so it earns a small, risk-sized position, not a big one. The risk budget is 50 basis points of your net worth of ₹42.92 lakh, which is about ₹21,460 of loss at the stop.

What does the money do in the meantime? We checked every place the next rupee could go. Cash stays at 100%, because nothing clears price, quality and reward-to-risk together today. AJMERA, on the shortlist, is cheaper on earnings at about 15.5 times and has a reward-to-risk of 5.2, but at ₹133.28 it sits just above its own zone of ₹124.51 to ₹132.17. Greaves is a zero today and becomes fundable only on a pullback into its zone. Charlie Munger said the big money is not in the buying and selling but in the waiting. The waiting is only worth something if the conditions are written down first.

A word on what we are not claiming. The live price of ₹225.97 is the 13 November close from a snapshot taken after the market shut, while the ledger still carries the 12 November bar at ₹223.18. A weekly market dashboard dated 8 November does not list Greaves among its rising-trend names, so the chart is our only confirmation of strength, and the stock is not tradable in options. Each of these is a reason to size small and keep the stop honest. None of them is a reason to ignore the trend, which is genuinely above every key average.

Finally, here is what would change our mind. If the stock closes above ₹271.90, the 52-week high, on strong volume and the third-quarter core margin is 13% or better, we reopen the case for an upgrade. If it closes below ₹197.60, we reject or re-underwrite. And if two more quarters pass with negative operating cash flow, or the scooter company asks for another round of money, the verdict becomes rejected. Notice that each trigger is a price or a fact you can look up, not a mood. That is the test of an honest verdict: could someone else check, next quarter, whether you were right?

Current holding decision: NOT HELD. 0 shares in the positions ledger; no current holding to trim or exit.. The Zerodha positions ledger of 13 November 2026 has no GREAVESCOT, so there are no shares to hold, trim or sell. No averaging in or buying to get started. This is an advisory plan, not a broker order. Alert plan: Daily close below ₹197.60 — Cancel any pending buy; reject or re-underwrite before reconsidering.; Price inside ₹205.02–₹211.26 with the 10-week EMA near ₹208.14 holding — Start an entry review; buy only if the KPI alerts are clear and the sizing table allows.; Core EBITDA margin below 12% again, operating cash flow negative again, or a new GEML funding round — Pause any entry and re-underwrite; two more quarters of negative operating cash flow or another GEML funding round moves the verdict to REJECTED.; Daily close above ₹271.90 on rising volume with

Q3 FY27 core EBITDA margin of 13% or more — Start an upgrade review of the verdict; no automatic purchase. Capital redeployment: 100.00% to CASH (CASH): Keep the full next marginal cash unit in cash today.; Stay in cash until a name enters its zone with the evidence gates clear.; 0.00% to AJMERA (SHORTLIST): No allocation today; AJMERA is the closest active-shortlist alternative.; Pullback into ₹124.51–₹132.17 with the ₹119.98 stop intact.; 0.00% to GREAVESCOT (OUTSIDE): No allocation today; the consumer screen reads BUY_AT_CMP_NO_FOMO but we override it (Chapter 8), and the stock becomes fundable on a pullback.; Pullback into ₹205.02–₹211.26 with the KPI alerts clear; stop ₹197.60.

Options and Call-Convexity Playbook (NOT OPTIONABLE OR ILLIQUID): GREAVESCOT has no liquid listed options chain (not in NSE F&O segment) — express any thesis strictly via cash equity.

> **NARRATOR'S REFLECTION**
>
> Charlie Munger said the big money is not in the buying and selling but in the waiting. Waiting is easy when you know what you are waiting for and hard when you do not. Write down the price, the stop and the three facts that would end the wait. Then see whether the day's news moves you, or only the list.

> **NARRATOR'S REFLECTION**
>
> Benjamin Graham gave us three words, margin of safety. Ask what yours is here. Is it the cheaper entry at ₹208.14, the net cash at the core, or the stop? A good answer names a number. A weak one names a hope.

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This Masterclass Companion Book was authored for private study, audiobook narration, and disciplined portfolio execution.

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